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Case Number: 26STCV04358 Hearing Date: June 25, 2026 Dept: 316

BACKGROUND

This is a lemon law action.

On February 10, 2026,

Plaintiff Sella Garoian filed a complaint against Defendants Mercedes-Benz USA, LLC ("MBUSA"), Mercedes-Benz of Beverly Hills, and DOES 1-50. The complaint alleges four causes of action stemming from Plaintiff's purchase of an allegedly defective vehicle.

On April

1, 2026, MBUSA filed a Motion to Compel Arbitration and Stay Proceedings ("Motion").

On

April 21, 2026, Mercedes-Benz of Beverly Hills filed a Joinder to Motion.

On May

21, 2026, Plaintiff filed an opposition.

On May

28, 2026, Defendants filed a reply.

On

June 4, 2026, the Court continued the hearing on the Motion to June 25, 2026.

The Court also allowed Plaintiff to file a sur-reply and Defendants to respond.

On June

11, 2026, Plaintiff filed a sur-reply.

On

June 18, 2026, Defendants filed a response to Plaintiff's sur-reply.

TENTATIVE

RULING

MBUSA's

Motion to Compel Arbitration is DENIED.

LEGAL

STANDARD

A

party to an arbitration agreement may summarily move or petition the court for an order compelling another non-compliant party to arbitrate their covered claims. (Code Civ. Proc., §§ 1281.2, 1290.2; 9 U.S.C. §§ 4, 6.)

California

law, like Federal law, reflects a strong public policy favoring arbitration and the fundamental principle that arbitration is a matter of contract. (See *AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339; *Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 8-9.) "To further that policy, Code of Civil Procedure, section 1281.2 requires a trial court to enforce a written arbitration agreement unless one of three limited exceptions applies. Those statutory exceptions arise where (1) a party waives the right to arbitration; (2) grounds exist for revoking the arbitration agreement; and (3) pending litigation with a third party creates the possibility of conflicting rulings on common factual or legal issues." (*Acquire II, Ltd. v. Colton Real Estate Group* (2013) 213 Cal.App.4th 959, 967 [internal citation omitted].)

"[U]nder both the FAA and California law, 'arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exists at law or in equity for the revocation of any contract.'" (*Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238; *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569; *Morgan v. Sundance* (2024) 596 U.S. 411, 419.)

On

petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and where a party thereto refuses

to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate if it determines an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2; *Gorlach v. Sports Club Co.* (2012) 209 Cal.App.4th 1497, 1505 [noting that “when presented with a petition to compel arbitration, the trial court’s first task is to determine whether the parties have in fact agreed to arbitrate the dispute.”]).)¿

The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and the opposing party bears the burden of proving any fact necessary to its defense by the evidentiary standard. (See *Gatton v. T-Mobile USA, Inc.* (2007) 152 Cal.App.4th 571, 579.)¿

Finally,
“[i]f a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc., § 1281.4.) And similarly, under the FAA, a court is required to stay the proceedings for a case that has been referred to arbitration, upon application of one of the parties, during the pendency of such arbitration. (9 U.S.C. § 3.)

EVIDENTIARY OBJECTION

Plaintiff
raises one evidentiary objection to the declaration of Macy Chan. The Court
OVERRULES this objection.

DISCUSSION

I.
Existence
of Arbitration Agreement

The

Court finds that Defendant has failed to prove the existence of a valid arbitration agreement between the parties.

The party seeking arbitration bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (See *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 164-65 (*Gamboa*)). This can be done “by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.” (*Id.* at 165 [citing *Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 219].) Alternatively, this burden can be met by setting forth the agreement's arbitration provisions in the motion. (See *Gamboa, supra*, 72 Cal.App.5th at 165.)

Once the moving party meets their burden, the opposing party may produce evidence challenging the authenticity of the document. (See *ibid.*) The opposing party may do so by “[testifying] under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement.” (*Ibid.*) If this burden is met, the burden shifts back to the moving party to prove the contract is authentic, including the authenticity of the signatures. (See *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 845-46.) Doubts are resolved in favor of arbitrability and ordinary rules of contract interpretation (e.g., resolve doubts against the drafter) apply. (See *Greenspan v. LADT, LLC* (2010) 185 Cal.App.4th 1413, 1437.)

Defendant submitted with the motion a purported lease agreement for the Subject Vehicle between Plaintiff and Keyes European, a dealership located in Van Nuys. (Chan Decl., Exh. 1, pp. 1, 6.) The lease agreement contained an arbitration provision (“Provision”). (See *id.* at p. 4.) The Provision states in relevant part:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third-Party Beneficiary”), which arises out of or relates to a credit

application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

(Ibid.)

MBUSA provided

a copy of the lease agreement with no signatures. (See generally Chan Decl., Exh. 1.) Then MBUSA provided a different copy of the lease agreement with its reply brief but as pointed out by Plaintiff, this version of the lease agreement is not signed by anyone representing the dealership. (See Chan Decl. submitted with Reply, Exh. 1.) Then MBUSA submitted a third version of the lease agreement with its response to Plaintiff's sur-reply. (See Leung Decl., Exh. 1.) Submitting new documents with reply briefs is generally not proper but submitting a new document with a response to a sur-reply is well beyond that and in this case a step too far.

The

Court finds that MBUSA has failed to meet its initial burden on this motion of showing that there is a valid arbitration agreement between the parties. (See Gamboa, supra, 72 Cal.App.5th at 164-65.)

II.

MBUSA's

Cannot Compel Arbitration Because any Warranty Is Independent of the Lease Agreement

Assuming

arguendo there was a valid arbitration agreement, the Court finds that MBUSA would still not be able to compel arbitration.

"Equitable

estoppel allows a nonsignatory defendant to invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are 'intimately founded in and intertwined' with the underlying contract obligations." (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1332-33 (Ford).) To determine if Plaintiff's claims are founded in or intertwined with the underlying lease agreement, the Court must examine the facts of the complaint. (See id. at 1333.) "[M]anufacturer

vehicle warranties that accompany the sale of motor vehicles without regard to the terms of the sale contract between the purchaser and the dealer are independent of the sale contract.” (Ibid.)

Here,

Plaintiff alleges that she received an express written warranty “by which MBUSA undertook to preserve or maintain the utility or performance of Plaintiff’s Vehicle or to provide compensation if there was a failure in such utility or performance.” (Complaint, ¶ 29.) Furthermore, Plaintiff claims that MBUSA was unable to service the subject vehicle to conform to the applicable express warranty. (See id. at ¶¶ 13, 30, 35, 37, 48, 57, 60.)

Based

on the Complaint and the lease agreement submitted by MBUSA, the Court concludes that any express warranty did not arise out of the lease agreement itself. First, Plaintiff alleged that while the express warranty accompanied the lease agreement, it was not a part of it. (Complaint, ¶ 29.) Second, Plaintiff leased a pre-owned vehicle. (See Chan Decl., Exh. 1, p. 1; Complaint, ¶ 12.) The lease agreement states that pre-owned vehicles are not covered by a warranty unless indicated by one of the boxes checked below. (See id. at p. 3 [“If the vehicle is pre-owned, it is not covered by a warranty unless indicated by a check in the corresponding box below. . . .”].) None of the relevant boxes are checked. (See *ibid.*) Lastly, the lease agreement states:

We lease the vehicle to you "AS IS". EXCEPT AS EXPRESSLY PROVIDED UNDER THIS LEASE, AND UNLESS PROHIBITED BY LAW, WE MAKE NO WARRANTIES OR REPRESENTATIONS, EITHER EXPRESS OR IMPLIED, AS TO THE VEHICLE'S (OR ANY PART OR ACCESSORY THEREOF) CONDITION, MERCHANTABILITY, OR FITNESS FOR ANY PARTICULAR PURPOSE; AND WE MAKE NO OTHER REPRESENTATION OR WARRANTY WHATSOEVER.

(Id. at p. 4.)

Thus, the

lease agreement did not provide the warranty, make any assurances regarding the quality of the subject vehicle, or make any promise of repairs or other remedies in the event problems arose.

These

facts are very similar to those alleged in Ford. There, the sale contracts did not include any warranty, any assurances regarding the quality of the vehicles sold, or any promise of repairs or other remedies in the event problems arose. (See Ford, supra, at p. 1335.) In fact, the sale contracts disclaimed any warranty on the part of the dealers, just as the lease agreement presented by MBUSA here. (See ibid.) The lease agreement did not include any warranties, make any assurances as to quality or repair, and explicitly disclaimed any warranties. (See Chan Decl., Exh. 1, pp. 1, 3-4.) Therefore, Plaintiff's reliance on Ford is well taken. The Court find that Plaintiff's causes of action against MBUSA are not "intimately founded in and intertwined" with the underlying contract obligations, assuming Defendant had properly presented a lease agreement. (See Ford, supra, at pp. 1332-33.)

The Court finds that MBUSA cannot compel arbitration because any warranty is independent of the lease agreement.

III.

MBUSA's

Ability to Compel Arbitration as a Third-Party Beneficiary

Even

if MBUSA is a third-party beneficiary of the lease agreement, it still may not compel arbitration because Plaintiff's claims do not arise out of the agreement itself.

"[T]he

decision as to whether a contractual arbitration clause covers a particular dispute rests substantially on whether the clause in question is 'broad' or 'narrow.'" (Bono v. David (2007) 147 Cal.App.4th 1055, 1067.) An arbitration clause is broad when it contains language such as "any claim arising from or related to this agreement" or "arising in connection with the agreement." (See Rice v. Downs (2016) 248 Cal.App.4th 175, 186.) A broadly worded arbitration clause may extend to tort claims only when said claims arise out of the underlying contract or "have their roots in the relationship between the parties which was created by the contract." (See ibid. [citing Izzi v. Mesquite Country Club (1986) 186 Cal.App.3d 1309, 1315-16].) Put another way, "To require arbitration, [the] factual allegations need only 'touch matters' covered by the contract containing the arbitration clause and all doubts are to be resolved in favor of arbitrability." (Rice v. Downs

(2016) 248 Cal.App.4th 175, 186 [citing Simula, Inc. v. Autoliv, Inc. (9th Cir. 1999) 175 F.3d 716, 721].)

Here,
the Provision states in relevant part:

Any claim or dispute, whether in contract, tort or otherwise
(including any dispute over the interpretation, scope, or validity of this
lease, arbitration section or the arbitrability of any issue), between you and
us or any of our employees, agents, successors, assigns, or the vehicle
distributor, including Mercedes-Benz USA LLC (each a “Third-Party
Beneficiary”), which arises out of or relates to a credit
application, this lease, or any resulting transaction or relationship arising
out of this lease (including any such relationship with third parties
who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be
resolved by a neutral, binding arbitration and not by a court action.

(Ibid. [emphasis added].)

The
Court finds that the arbitration provision does not cover Plaintiff’s claims.
As demonstrated in the prior section, Plaintiff’s claims do not arise out of the
lease agreement. Therefore, even assuming MBUSA is a third-party beneficiary of
the arbitration agreement in the lease agreement, it cannot compel Plaintiff to
arbitrate her claims. (See Rice v. Downs (2016) 248 Cal.App.4th 175,
186.)

IV.

Joinder
of Mercedes-Benz of Beverly Hills

Mercedes-Benz
of Beverly Hills filed a joinder to MBUSA’s Motion. Mercedes-Benz of Beverly
Hills is not a party to the lease agreement bearing the arbitration provision.
Nor is it named in the lease agreement as a third party beneficiary. Therefore,
there is no basis on which Mercedes-Benz of Beverly Hills can compel arbitration.
(See Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324.)

CONCLUSION;

For the foregoing
reasons, MBUSA's Motion to Compel Arbitration is DENIED.